March 10, 2003

Dear Shareholder:

We are pleased to invite you to attend the Annual and Special Meeting of the Shareholders of Canada Bread Company, Limited to be held at the Glenn Gould Studio, Canadian Broadcasting Centre, 250 Front Street, West, Toronto, Ontario at 10:00 a.m. on May 1, 2003. The items of business you will be asked to act on are set forth in the accompanying Notice of Annual and Special Meeting and Management Information Circular. As well, a copy of the Annual Report, which includes the financial statements for 2002 is enclosed.

Our message this year is "Delivering Results". In 2002 Canada Bread Company, Limited had continued strong financial performance and repositioned for success with a new organizational structure and strategic acquisitions to establish itself as a global bakery with leading brands and significant market share across Fresh and Frozen Par-Baked product lines. We begin 2003 with high-quality bakery assets in North America and the U.K., brand leadership, financial strength and an exceptional team. Canada Bread has the recipe for success. We invite you to read about our achievements in 2002 in the Annual Report.

We encourage you to ensure that your shares are represented at the meeting whether or not you are able to attend. Your vote is important. If you do not plan to be present, we would appreciate you taking the time now to sign, date and return the enclosed proxy form in the enclosed envelope so that your shares can be voted at the meeting in accordance with your instructions.

Proxies will be counted and tabulated by Computershare Trust Company of Canada, the transfer agent of Canada Bread Company, Limited.

We thank you for your continuing support of the Company as a shareholder.

Yours very truly,

MICHAEL H. MCCAIN
Chairman of the Board

RICHARD A. LAN
President & Chief Executive Officer

Encl:

CANADA BREAD COMPANY, LIMITED

NOTICE OF ANNUAL AND SPECIAL MEETING OF SHAREHOLDERS

TAKE NOTICE that the Annual and Special Meeting of the shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") will be held at the Glenn Gould Studio, Canadian Broadcasting Centre, 250 Front Street West, Toronto, Ontario on the 1st day of May 2003 at 10:00 a.m. (Toronto time) for the following purposes:

(a) Receiving and considering the Annual Report containing the consolidated financial statements for the year ended December 31, 2002, together with the auditors' report thereon;

(b) Electing directors;

(c) Considering and if thought advisable approving a Resolution in the accompanying Management Information Circular and Schedule "A" confirming the repeal of all former by-laws of the Corporation and the substitution by the new By-law Number 67;

(d) Appointing auditors and authorizing the directors to fix their remuneration; and

(e) To transact such other business as may properly come before the Meeting or any adjournment or adjournments thereof.

The accompanying Management Information Circular dated March 10, 2003 provides additional information concerning the matters to be dealt with at the Meeting. As a substantial representation of the holders of common shares is required, if you are not able to be present personally, kindly date, sign and return the form of proxy accompanying this Notice in the envelope provided for that purpose.

DATED at Toronto this 10th day of March, 2003.

By Order of the Board.



R. Cappuccitti
Secretary

Notes:

(1) Holders of common shares registered on the books of thc Corporation at the close of business on March 27, 2003 are entitled to notice of the Meeting.

(2) The directors have fixed the close of business on March 27, 2003 as the record date for the determination of the shareholders of the Corporation entitled to notice of and to vote at the Meeting and only persons who are registered as holders of common shares on the books of the Corporation at the close of business on March 27, 2003 or persons who are transferees of common shares acquired after March 27, 2003 and who produce properly endorsed certificates for such common shares or otherwise establish ownership thereof and demand, not later than ten (10) days before the Meeting, that the Secretary of the Corporation include their names in the list of shareholders, are entitled to vote at the Meeting.

(3) The directors have fixed the hour of 4:30 p.m. on the last business day preceding the day of the Meeting or any adjournment thereof, before which time the instrument of proxy to be used at the Meeting must be deposited with the Secretary of the Corporation, c/o Computershare Trust Company of Canada, 100 University Avenue, 9th Floor, Toronto, Ontario, M5J 2YI, provided that a proxy may be delivered to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time for voting.